

LFB HOLDINGS

Decision Distortion Assessment Reports

BASE REPORT

Your Decision Distortion Assessment — Incentive Misalignment Is Your Dominant Force

Your assessment is in. Of the four forces that bend organizational judgment under pressure, incentive misalignment is showing up most actively in your company right now. This one operates differently from the other three. Noise, bias, and accumulation distort judgment from inside the decision process. Incentives operate in the environment surrounding decisions — they determine how fast the other forces compound and how much friction exists to slow them. When incentives are misaligned, the other three forces run without resistance.

What incentive misalignment is

Incentive misalignment is the environmental layer that governs the rate at which noise, bias, and accumulation compound. Think of it as the fuel the other forces run on. Noise, bias, and accumulation are always present in organizations — they're latent. The incentive structure determines whether they operate with friction or without it.

In a clean incentive environment — honest feedback loops, no pressure to perform a narrative, no penalty for surfacing a hard truth — the three cognitive forces still operate, but they also self-correct. Disconfirming evidence lands. Honest dissent is possible. The chain forms slowly and breaks more easily. In a high-fuel environment — runway pressure, valuation optics, board expectations, identity fusion between founder and thesis — the same latent forces run without friction. The chain closes faster.

Two empirical regularities describe how misaligned incentives corrupt the signal environment. When a measure becomes a target, it ceases to be a good measure. And when a quantitative indicator is used for accountability, it becomes subject to gaming — not always through fraud, but through the rational redirection of effort toward what is measured and away from what matters.

How it typically shows up

The metrics a company reports to its board and the metrics it actually runs the business by start to diverge. Not dramatically, not dishonestly — but the external story and the internal reality are different documents. Sales reports units shipped; the operational reality is that implementation timelines are slipping and renewals are at risk. The company isn't lying. It's performing the narrative the incentive environment rewards, and the people inside can see the gap but can't quite say so without cost.

Then a harder truth surfaces — a product problem, a customer defection, a market signal that the thesis may need revisiting. The person who could have raised it three months ago didn't, because they had watched what happened to the last person who brought a hard problem into the room. By the time the truth is undeniable, the window for the cheaper response has closed.

That sequence — rational silence, delayed signal, expensive correction — is what high-fuel incentive environments produce. Reliably.

Where your assessment is pointing most clearly within incentive misalignment is on the gap between the external story and the internal reality. The question your assessment flagged is whether the metrics that go to the board, to investors, or to external stakeholders are the same ones leadership actually uses to run the company day to day. When they're not — and in many high-growth companies they're not — the divergence creates a predictable set of downstream problems. The external metrics get optimized because that's what carries accountability consequences. The internal reality, which the operational metrics are meant to capture, gets less attention precisely when external pressure is highest. Over time, the organization gets better at performing the external story and worse at reading its own operational signal. The correction isn't to make the external metrics simpler — it's to ask honestly why the two lists diverged and whether the external metrics are still measuring what they were designed to measure.

Where to start

The first intervention is a side-by-side audit of the two lists. Put the external metrics and the internal operational metrics on the same page and ask three questions: where do they diverge, why did they diverge, and what behavior does each list actually reward when someone optimizes for it? The divergence itself isn't the problem — some external metrics are necessarily simplified. The problem is when the divergence is invisible, because invisible divergence means the organization is being steered by two different instruments without knowing it.

The second is a metrics ancestry check for each external metric. For every number that goes to the board or to investors, trace it back to the underlying operational reality it was originally designed to capture and ask whether it still connects. Metrics drift from their original purpose gradually and without announcement — the number keeps moving while the connection to what it was meant to measure quietly loosens. The ancestry check makes that loosening visible before the gap between the external story and the internal reality becomes too wide to close without a difficult conversation.

The research behind this

The academic foundation for what your assessment detected comes primarily from *The Tyranny of Metrics* by Jerry Muller — the most direct account of how incentive structures and metric fixation distort organizational behavior, and why the behaviors an incentive system produces are often not the behaviors it intended. Goodhart's Law and Campbell's Law — both documented in detail there — are directly applicable to what your scores are showing. The insight that matters most: the harder an organization pushes on a metric, the less reliable that metric becomes as a guide to the underlying reality it was meant to capture.

What's next

The full Decision Distortion whitepaper from LFB Holdings walks through how incentive misalignment combines with the other three forces — noise, bias, and accumulation — and how to locate the specific points in your decision process where a single closed gap would have the greatest effect.

If you'd like to talk through what your results mean for your company specifically, we're glad to do that.

LFB Holdings: lfbholdings.com

For ongoing case-by-case analysis of how these forces operate in real organizational decisions, Bad Call is a subscription brief that applies this framework to actual decision sequences — company autopsies, one at a time. **Bad Call:** badcall.ai